

BEFORE

After the end of the Roman Empire, Europe's cities and trading networks fell into decline.

THE ROMAN EMPIRE

Under the Romans **106–15**, a wide network of cities and roads was established throughout Western Europe and **trade flourished**. Large towns were built even near the frontiers of the empire, such as at Trier in Germany. After 476 CE, when the last emperor was deposed in the West, **roads fell into disrepair** and some **towns were abandoned**. Political insecurity meant people hoarded their money rather than using it for trade, and the economy became reliant on **bartering**.



ROMAN GATE AT TRIER

Throughout the early part of this period, urban populations remained low. Some old Roman towns developed into religious centers, with bishops becoming the most powerful of the local lords. Other towns were used mainly as places for defense. Trading continued, but widespread unrest disrupted travel across Europe. With fewer coins being minted—a result of shortages of silver and political instability—people had to rely on exchanging one thing for another, or bartering.

From the 11th century onward, Western Europe began to stabilize. The supply of silver increased when deposits were found in the German province of Saxony. This meant that more coins could be produced and trade could be carried out more easily. However, it was the towns of the Italian peninsula that were first to benefit from these developments. Italy was ideally situated in the center of the

bankers, lending money to rulers across Europe. The Riccardi family of Lucca effectively financed the reign and costly wars of Edward I of England (1271–1307), for example, although they would later go bankrupt when subsequent English kings refused to pay back the loans. Pisa, Genoa, and Venice all became great ports. Venice



Wealthy Flemish couple

This oil painting by Matsys depicts a Flemish money-changer and his wife. The clothes, books, and glassware indicate the prosperity of the new merchant class.

Cities and Trade

Between 600 CE and 1450, the cities and towns of medieval Europe began to expand from simple defensive settlements into cosmopolitan centers of trade, power, and art. In Italy, cities became independent states, some building empires. In Northern Europe, the towns of Flanders became centers of manufacturing.

“He who is not a **citizen** [city-dweller] is not fully a **man**.”

REMIGIO DE GIROLAMI, DOMINICAN FRIAR, 14TH-CENTURY FLORENCE



Bridging Britain and the Continent

This map from 1572 shows all the principal towns in Flanders, including Bruges and Antwerp. These towns were major manufacturing centers and, in the medieval period, specialized in processing English wool.

Mediterranean and was the natural crossroads for goods coming from east and west. Most importantly, many of its towns were effectively independent of overlords and emperors. The German Holy Roman Emperors Frederick Barbarossa and Frederick II were unsuccessful in their attempts to intervene in Italian affairs in the 12th–13th centuries (see right). This left the Italian cities free to run their own affairs and concentrate on trade.

Italian city-states

Textile production, banking, and shipping made enormous fortunes for the Italian cities and the families involved in these occupations. Tuscany, especially the cities of Florence and Siena, produced fine woolen cloth that was exported across Europe. Silk was produced around Milan and Pavia in the north. The Italians were also accomplished

also managed to build an empire in the Balkans and Greece, making the city the principal maritime power in Europe.

The great success of Italy, however, was Florence, whose fortune was built on textile production and banking, and on its central position on the Italian peninsula. Florence was an

oligarchy, a society ruled by the wealthiest merchants.

During frequent struggles between the Germanic Holy Roman Empire and the Papacy in the 11th–12th centuries, it always backed the popes and gained privileged access to the lucrative Roman market as a result. The city aggressively guarded its position within Tuscany and eventually came to dominate the other banking cities of Siena and Lucca, and

the port of Pisa. In time, one family, the Medicis, came to dominate the city.

The Italian city-states made many important economic advances. They issued gold coins, which made it easier to deal in goods of a high value than



Milanese gold ducat

This 15th-century gold coin could be transported more easily than the equivalent value in silver.

